

Accounting Information Systems

Section 1

Chapter One: Accounting Information Systems: an Overview

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1.1 Multiple-Choice Questions:

1. Data differ from information in which way?

- a. Data are output, and information is input.
- b. Information is output, and data are input.
- c. Data are meaningful bits of information.
- d. There is no difference.

Answer: B

2. Which of the following is NOT a characteristic that makes information useful?

- a. It is reliable.
- b. It is timely.
- c. It is inexpensive.
- d. It is relevant.

Answer: C

3. Which of the following is a primary activity in the value chain?

- a. purchasing
- b. accounting
- c. post-sales service
- d. human resource management

Answer: C

4. Which transaction cycle includes interactions between an organization and its suppliers?

- a. revenue cycle
- b. expenditure cycle
- c. human resources/payroll cycle
- d. general ledger and reporting system

Answer: B

5. Which of the following is NOT a means by which information improves decision making?

- a. increases information overload
- b. reduces uncertainty
- c. provides feedback about the effectiveness of prior decisions
- d. identifies situations requiring management action

Answer: A

6. In the value chain concept, upgrading IT is considered what kind of activity?

- a. primary activity
- b. support activity
- c. service activity
- d. structured activity

Answer: B

7. In which cycle does a company ship goods to customers?

- a. production cycle
- b. financing cycle
- c. revenue cycle
- d. expenditure cycle

Answer: C

8. Which of the following is a function of an AIS?

- a. reducing the need to identify a strategy and strategic position
- b. transforming data into useful information
- c. allocating organizational resources
- d. automating all decision making

Answer: B

9. A firm, its suppliers, and its customers collectively form which of the following?

- a. supply chain
- b. value chain
- c. ERP system
- d. AIS

Answer: A

10. A report telling how well all approved vendors have performed in the prior 12 months is information that is MOST needed in which business process?

- a. paying vendors
- b. acquiring inventory
- c. selling merchandise
- d. paying employees

Answer: B

1.2 Discussion Questions: “From Text Book”

**1-2 Can the characteristics of useful information listed in Table 1-1 be met simultaneously?
Or does achieving one mean sacrificing another?**

Answer:

Several of the criteria in Table 1.1 can be met simultaneously. For example, more timely information is also likely to be more relevant. Verifiable information is likely to be more reliable. However, achieving one objective may require sacrificing another. For example, ensuring that information is more complete may reduce its timeliness. Similarly, increased verifiability and reliability may reduce its timeliness. The decision maker must decide which trade-offs are warranted in a given situation.

1.3 Problems:

1.4. Matching

Match the description listed in the right column with the information characteristic listed in the left column.

- | | |
|-------------------|---|
| 1. Relevant | a. The report was carefully designed so that the data contained in the report became information to the reader. |
| 2. Reliable | b. The manager was working one weekend and needed to find some information about production requests for a certain customer. He was able to find the report on the company's network. |
| 3. Complete | c. The data in a report was checked by two clerks working independently. |
| 4. Timely | d. An accounts receivable aging report included all customer accounts. |
| 5. Understandable | e. A report was checked by three different people for accuracy. |
| 6. Verifiable | f. An accounts receivable aging report is used in credit-granting decisions. |
| 7. Accessible | g. An accounts receivable aging report was received before the credit manager had to make a decision whether to extend credit to a customer. |

1.3 Problems:

Answer:

1.4 Match the description in the right column with the information characteristic in the left column.

F 1. Relevant	a. The report was carefully designed so that the data contained on the report became information to the reader
E, C 2. Reliable	b. The manager was working one weekend and needed to find some information about production requests for a certain customer. He was able to find the report on the company's network.
D 3. Complete	c. The data on a report was checked by two clerks working independently
G, B 4. Timely	d. An accounts receivable aging report that included all customer accounts
A 5. Understandable	e. A report checked by 3 different people for accuracy
C 6. Verifiable	f. An accounts receivable aging report used in credit granting decisions
B 7. Accessible	g. An accounts receivable aging report was received before the credit manager had to make a decision whether to extend customer credit

1.3 Problems:

- 1.8.** Classify each of the following items as belonging in the revenue, expenditure, human resources/payroll, production, or financing cycle.
- a. Purchase raw materials
 - b. Pay off mortgage on a factory
 - c. Hire a new assistant controller
 - d. Establish a \$10,000 credit limit for a new customer
 - e. Pay for raw materials
 - f. Disburse payroll checks to factory workers
 - g. Record goods received from a vendor
 - h. Update the allowance for doubtful accounts
 - i. Decide how many units to make next month
 - j. Complete a picking ticket for a customer order
 - k. Record factory employee timecards
 - l. Sell concert tickets
 - m. Draw on line of credit
 - n. Send new employees to a business ethics course
 - o. Pay utility bills
 - p. Pay property taxes on an office building
 - q. Pay federal payroll taxes
 - r. Sell a DVD player
 - s. Collect payments on customer accounts
 - t. Obtain a bank loan
 - u. Pay sales commissions
 - v. Send an order to a vendor
 - w. Put purchased goods into the warehouse

1.3 Problems:

- | | |
|---|---------------------------------|
| a. Purchase raw materials | – Expenditure cycle |
| b. Pay off mortgage on factory | – Financing cycle |
| c. Hire a new assistant controller | – Human resources/payroll cycle |
| d. Establish a \$10,000 credit limit for a new customer | – Revenue cycle |
| e. Pay for raw materials | – Expenditure cycle |
| f. Disburse payroll checks to factory workers | – Human resources/payroll cycle |
| g. Record goods received from vendor | – Expenditure cycle |
| h. Update the allowance for uncollectible accounts | – Revenue cycle |
| i. Decide how many units to make next month | – Production cycle |
| j. Complete picking ticket for customer order | – Revenue cycle |
| k. Record factory employee timecards | – Human resources/payroll cycle |
| l. Sell concert tickets | – Revenue cycle |
| m. Draw on line-of-credit | – Financing cycle |
| n. Send new employees to a business ethics course | – Human resources/payroll cycle |
| o. Pay utility bills | – Expenditure cycle |
| p. Pay property taxes on office building | – Expenditure cycle |
| q. Pay federal payroll taxes | – Human resources/payroll cycle |
| r. Sell DVD player | – Revenue cycle |
| s. Collect payment on customer accounts | – Revenue cycle |
| t. Obtain a bank loan | – Financing cycle |
| u. Pay sales commissions | – Human resources/payroll cycle |
| v. Send an order to a vendor | – Expenditure cycle |
| w. Put purchased goods into the warehouse | – Expenditure cycle |

Answer: